

Professorship of Corporate Law
Prof. Dr. Stefanie Jung, M.A. (CoE)

Introduction to Business Law

Q&A / Repetition Session

Summer term 2025



Quiz

2

§ 145
BGB

Binding effect of an offer

§ 56
HGB

Store Power of Attorney

§ 441
BGB

Reduction of price
(Warranty)

§ 241 II
BGB

Duties of consideration in
the contractual relationship

§13 BGB

Consumer

§ 280 I
BGB

Damages

§ 476
BGB

Deviating Agreements B2C,
Purchase Agreement

§ 305
BGB

Standard business terms

§ 35
GmbHG

Representation GmbH

§ 276
BGB

Responsibility of the debtor

- You don't have to copy the law word by word
- Exception: Definitions

- But you have to quote the exact parts
 - § 440 **1 alt. 1** BGB or § 434 **II 2 no. 1** BGB
 - specific information resulting from different parts:
§§ 164 I, 167 I, II BGB, § 56 HGB

How to write more efficiently?

4

- Find the problems
 - Concentrate on detailed solutions
 - Short unproblematic points, e.g.:
 - If the case facts say there is a valid purchase agreement, refer to the case facts
 - BUT nevertheless, write down definitions and check them. At unproblematic points you can sum up definitions (e.g. write down definitions of DoI, Offer, Acceptance) and affirm them all together with one sentence
- Learn standard formulations by practicing legal opinions
- Make a sketch and checklist of schemes and problems before writing
- Refer to previous case solution
- Concentrate on argumentation and correct citation (!)
- If you run out of time, try to finish in a shortened form in the last few minutes
- Switch to the question part after an hour and see if there is time left at the end

Purchase Agreement

5

Definition

- A valid purchase agreement acc. to § 433 BGB requires two matching declarations of intent in the form of an offer and an acceptance (§§ 145 et seqq. BGB).
- About the *essentialia negotii*
- With intention to be legally bound

How to address *essentialia negotii*:

- **Problem** about matching DoI's evident in case facts?
 - Name the *essentialia negotii* step by step and check within each DoI
 - Purchase agreement: parties, goods, price
- **No problem** evident: Refer to *essentialia negotii* with one sentence
 - Def. Purchase Agreement, Offer, Acceptance, refer to requirements of *essentialia negotii*
 - Affirm all in one sentence

Silence as a DoI?

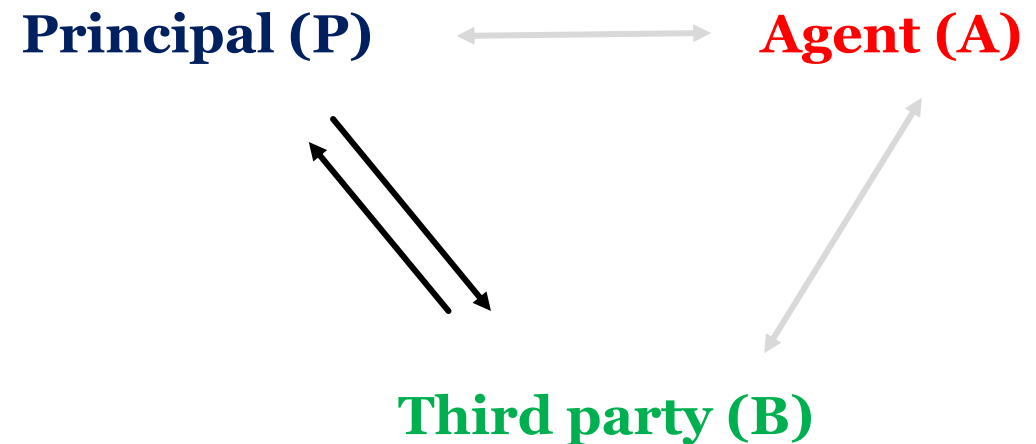
6

- **General:** No, it does not represent any externally recognizable behavior and therefore has no legal explanatory value.
- **Exceptions:**
 - If a commercial letter of confirmation is sent following verbal contract negotiations, the recipient's silence shall be deemed to constitute consent if he is a merchant and does not object immediately
 - § 362 HGB, Silence on the part of a merchant who is responsible for arranging transactions is deemed to be an acceptance in the case of existing business relationships
- **Reason:**
 - Simplify contract conclusion
 - Protection of legal transactions
 - Businesses have more knowledge and care

Does B have a claim for payment / delivery against P?
Did B and P conclude a valid contract?

I. Purchase Agreement (§ 433 II, I BGB)

- DoI of P himself (-)
- DoI of A on behalf of P
 - Effective agency? (§ 164 BGB)
 1. Own DoI = „declaration of intent which a person makes” § 164 I 1 BGB
 2. Principle of publicity = „in the name of a principal“ § 164 I 1 BGB
 - Explicitly
 - Implicitly = “from the circumstances” § 164 I 2 BGB
 3. Power of representation, § 179 I BGB
- If (-), purchase agreement (-)
- If (+), continue with DoI of B



Exceptions from the principle of publicity

8

- §164 I 2 BGB:
 - Enterprise-related transactions (circumstances):
 - No explicit reference to authorization is needed when a person unequivocally acts in relation with a company when involved in a legal transaction.
 - E.g. Agent is the company's employee or concludes the contract at the company's premises or sells a chair at a furniture store.
- Transactions for whom it concerns
 - For immediately settled cash transactions in daily life the contract partner is irrelevant
 - Contracting parties don't need to know each other necessarily, e.g. supermarket customer, booking of a hotel room, ordering goods on the internet

Power of representation

9

- Power of representation can be obtained by three sources

By statutory provision	By declaration	By reliance on good faith
e.g. § 35 GmbHG	§ 167 I BGB	§ 242 BGB
A managing director concludes contracts for a GmbH.	The principal grants power of agency by declaration.	Because of negligence of the principal it appears that an „agent“ has power of representation.

If no power of representation flows from one of these sources § 179 I BGB is applicable.

Power of representation

10

- **By statutory provisions:**

- **§ 35 GmbHG – managing director for GmbH**
- § 78 AktG – management board for AG
- §§ 125, (161 II) HGB – managing director for OHG (KG)



- § 13 GmbHG: legal entity, own rights and obligations
- Problem: Company cannot act
- Solution: Representation
 > by law § 35 GmbHG:
 Represented by managing directors
 > + appointed representatives
 > + by reliance on good faith

- **By declaration:**

- **Authority, § 166 II BGB**
 - Internal power of representation, § 167 I alt. 1 BGB
 - External power of representation, § 167 I alt. 2 BGB
- **Procura, § 48 HGB**
- Commercial authority to act, § 54 HGB

- **By reliance on good faith:**

- **Store authorization, § 56 HGB**



Any person employed in a store (...) is deemed authorized to make sales (...) that are customarily made in such a store (...).

I. Employed in a store (+)
II. Customarily sales (+)
= Power of representation (+)

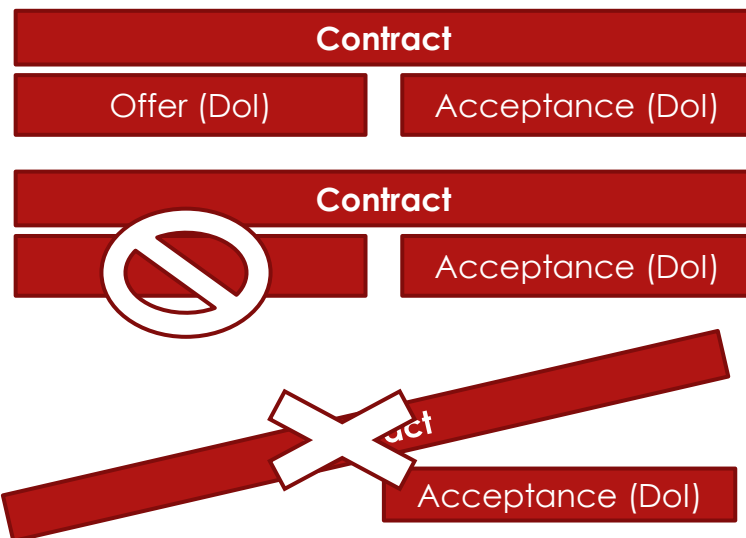
Consequences of an unauthorized agent

11

- What does it mean?
 - No power of representation
 - Power of Representation is a requirement of effective agency (§ 164 I 1 BGB), if it's lacking, the acting agent is unauthorized
- Consequences, § 177 I BGB
 - Contract becomes pendingly ineffective according to § 177 I BGB -> depends on the ratification by the principal
 - Ratification by "principal" (+): Contract between other party and principal
 - Refusal by "principal" (-): No Contract between other party and principal
 - BUT: Third has a claim for performance § 179 I BGB or damages § 179 I BGB against unauthorized agent

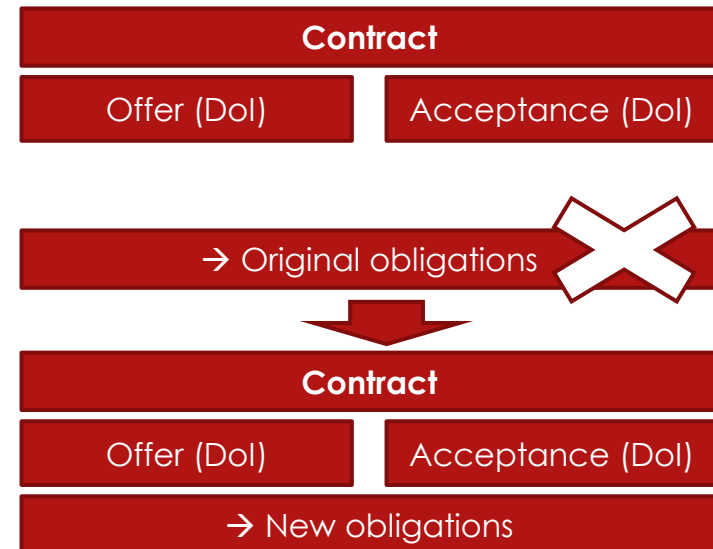
Effects of rescission § 142 I BGB

- Aim to eradicate the DoI
 - Effect ex tunc = “from the start“
 - Void DoI can't form basis of contract
- No contract



Effects of revocation § 346 I BGB

- “performance received and emoluments taken are to be returned”
- (⇔ Effect ex nunc = “from now on”)
- Contract is recognized and remains in force, but it is to be revoked and therefore the performance obligations change



I. Valid purchase agreement, § 433 BGB

II. Material defect acc. to § 434 BGB

1. Non-conformity with subjective requirements, § 434 II BGB
2. Non-conformity with objective requirements, § 434 III BGB
3. Non-conformity with assembly requirements, § 434 IV BGB

III. Upon the passing of the risk, § 446, 447 BGB

- If unclear and B2C: § 477 BGB – Shifting burden of proof
 1. Sale of consumer goods acc. § 474 I 1 BGB
 - a. Consumer, § 13 BGB
 - b. Trader § 14 I BGB
 - c. Good, § 241a I BGB
 2. Defect, § 434 BGB
 3. Within one year after date of the passing of risk, § 477 I 1 BGB

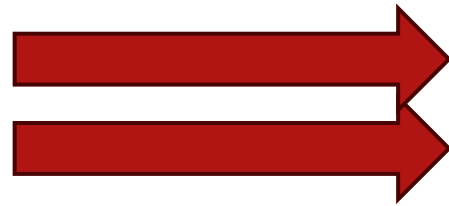
Scheme Warranty – Repair/New Delivery

14

4. Presumption is not incompatible with the nature of the good, or defective condition, § 477 I 1 BGB

IV. No exclusion of warranty rights

1. Contractual exclusion
 - a. No individual agreement
 - b. No standard business terms
2. Statutory exclusion (§§ 442, 444, 475 BGB)



Purchase Agreement + B2C + agreement before notice that covering the defect + disadvantage for consumer?

= § 476 BGB: Agreement is invalid



Esp. § 442 BGB – Knowledge excludes warranty rights

V. Legal consequences

→ Choice between cure and new delivery

IV. Result

- I. Reason for revocation
 - 1. Reciprocal contract (§ 433 BGB)
 - 2. Obligation to perform (§ 433 I or II BGB)
 - 3. Breach of duty (Defect upon the passing of risk §§ 434, 435 BGB, 446 1 BGB)
 - 4. unsuccessful, reasonable additional period § 323 BGB or Dispensability §§ (440), 323 II BGB,
- II. Declaration of revocation, § 349 BGB
- III. No exclusion of the revocation §§ 323 V 2, VI BGB
- IV. (No exclusion of warranty rights)
- V. Result
 - Revocation & new obligation to return the services received, § 346 I

Scheme Warranty – Revocation - Exceptions

16

- Regarding the deadline for subsequent performance
 - § 323 II
 - Nr. 1: Debtor refuses to pay
 - Nr. 2: Deadline agreed upon prior to the conclusion of the contract or a deadline due to circumstances that substantially alter the contract
 - (Nr. 3: Special circumstances, taking into account the interests of both parties)
- Regarding the revocation itself
 - § 323 V 2: Insignificance
 - 323 VI hs. 1: One's own (primary) responsibility
 - (323 VI hs. 2: Default of acceptance)

Warranty rights – Reduction

17

- "Instead of revoking" = same requirements ≈ same exclusions
 - Declaration of Revocation -> Declaration of Reduction
 - However, insignificance does not affect this (§ 441 I 2 BGB)
 - Different consequences
- Special right to alter the purchase contract, §§ 437 Nr. 2, 441 I BGB
- Formula in **§ 441 III BGB**: x = reduced price

$$X = \frac{\text{value with defect} \times \text{agreed price}}{\text{value without defect}}$$

- Before payment: objection of reduction (refusal right)
- After payment: restitution of overpayment, **§§ 441 IV, 346 et seq. BGB**

Warranty rights – Damages

18

- § 437 Nr. 3 BGB: Different damage claims in case of defect

Damages in addition to performance	Damages instead of performance
Simple damages § 280 I BGB	Damages due to non- or malperformance §§ 280 I, III, 281 BGB
	Damages due to impossibility §§ 280 I, III, 283 BGB
	Damages due to initial impossibility § 311a BGB

- How to distinguish between the types of damages?

“Would the claimed damage still be given, if the performance had been hypothetically rendered (correctly at the latest possible time)?“



Damages in addition to performance

- § 280 I BGB



Damages instead of performance

- §§ 280 I, III, 281 BGB
- §§ 280 I, III, 283 BGB
- (§ 311a II 1. Alt. BGB)

■ Definition

- No definition in statutory law
- Any disadvantage that someone suffers to their interests
- “Any involuntary loss of material or immaterial goods and interests”
 - Not: Expenses, a voluntary sacrifice of assets (= reimbursement § 284 BGB)
 - Includes expenses incurred by the injured party to prevent or limit damage
 - ▶ Based on the occurrence of the damage; not voluntary

Warranty rights – Damages instead of performance

22

- **Damages due to non- or malperformance, §§ 280 I, III, 281 BGB**
 - Non-performance (1. Alt.) or mal-performance (2. Alt.)
 - § 280 III BGB states: § 280 I + § 281 BGB

§ 280 I BGB
Contractual obligation
Breach of duty
Responsibility
Damage
Causality



§ 281 BGB
(Contractual obligation: Due obligation to perform)
(Breach of duty: Non- or mal-performance)
Additional period

- Setting of a reasonable additional period for performance or cure
 - Period must be expired without result; no reminder required
 - Exceptions of requirement in § 281 II BGB and § 440 BGB (for purchase contracts)
- Exclusion of damages instead of the entire performance in case of:
 - Partial performance, yet interest of buyer in such performance, § 281 I 2 BGB
 - Insignificant defective performance, § 281 I 3 BGB

Q: Is it legally possible to combine revocation with damages instead of performance (§ 281 BGB)?

- Yes, acc. to §§ 325 BGB the buyer may revoke the contract (to reverse the exchange of performances) and then additionally claim the performance interest via the „big“ damage claim (which includes, e.g., lost profits)
- BUT: Compatibility does not mean that the buyer may recover twice. The restitution obtained through revocation must be taken into account when calculating damages. (Prohibition against unjust enrichment)

- → Fully formulated legal opinion, see 'Writing Workshop'
- I. Existence of standard business terms, § 305 I 1 BGB
 - 1. Contract terms
 - 2. Pre-formulated
 - 3. Intention to use in at least three different contracts
 - 4. Presentation by the user
 - 5. No Individual Agreement, § 305 I 3 BGB
- II. Incorporation of standard business terms, § 305 II No. 1, 2
 - 1. Explicit reference,
 - 2. Possibility of taking note
 - 3. or Exceptions? Especially § 310 I
 - 4. No surprising clauses, § 305c I BGB

- III. Content Control
 - 1. § 309 Prohibited clauses without the possibility of evaluation or
 - 2. § 308 Prohibited clauses with the possibility of evaluation (consider circumstances) or
 - 3. § 307 Test of reasonableness of content (flexible evaluation, case law)
 - ▶ E.g. Non transparent SBT, Incompatibility with basic principles of statutory provisions, limitation of essential rights and duties of a contract endangering the purpose or other unreasonable disadvantage
 - ▶ ARGUMENTATION!
- IV. Legal consequences of invalid clauses
 - Ineffectiveness of the clause, § 307 I 1 BGB
 - Rest of the contract is effective, § 306 I BGB
 - Ineffective clauses are replaced by statutory provisions, § 306 II BGB
 - Exception: Blue pencil test (+), reduction of an invalid clause to its valid part

	•Partnerships (e.g. GbR)	•Corporations (e.g. GmbH)
•Basic form	•Civil law partnership (GbR) •→ very dependent on individual partners	•Registered society (e.V.) •→ independent from individual members
•Representation	•One shareholder must be director	•Special board, not necessarily shareholder
•Taxation	•Every shareholder is taxable individually	•Corporate tax
•Liability	•Someone is liable with his private assets	•Liability is restricted to corporate funds
•Examples	•GbR, oHG, KG, mixed forms like GmbH & Co. KG	•GmbH (UG), AG, ...

Evaluation (5 min)

If you have any suggestions for improvement, please feel free to email us
at any time

(ronja.bundrock@tum.de; magedalene.back@tum.de)

Thank you!